

Motion To Dismiss: Cardinal Logistics, LLC

TO: File

DATE: 2026-05-13

RE: Motion To Dismiss — Cardinal Logistics, LLC

Introduction

This brief addresses the critical threshold question of subject matter jurisdiction presented in the matter of **In re Meridian Terra Holdings, LLC**. The central issue before the Court concerns the statutory foundation for this litigation and whether the claims asserted satisfy the "well-pleaded complaint" rule to establish federal jurisdiction under 28 U.S.C. § 1331. The Plaintiff's jurisdictional allegations are fatally deficient, seeking to invoke federal authority based upon a defense or anticipated response rather than an essential element of its own cause of action.

The procedural posture and substantive claims necessitate immediate jurisdictional scrutiny. The Plaintiff attempts to anchor jurisdiction in this Court by framing its state-law contract dispute as necessarily raising a federal question concerning the preemptive effect of the Federal Arbitration Act (FAA). This maneuver represents a fundamental misapplication of controlling precedent. As the Supreme Court authoritatively established in **Goldey v. Fields**, 606 U.S. 942 (2024), the "creation" test remains the steadfast guide: a case arises under federal law only when federal law creates the cause of action asserted. A defendant's anticipated federal defense, even one as significant as federal preemption, cannot retroactively confer federal subject matter jurisdiction upon a complaint that is otherwise grounded exclusively in state law.

The Plaintiff's Complaint, stripped of its jurisdictional rhetoric, asserts causes of action for breach of contract, breach of the implied covenant of good faith and fair dealing, and unjust enrichment. Each of these claims is a creature of state common law; none is created by an Act of Congress. The potential applicability of the FAA as a defense to enforcement of the contractual arbitration clause is a merits question that does not transform the nature of the Plaintiff's pleaded claims. To hold otherwise would permit any party to manufacture federal jurisdiction by the mere incantation of a federal statute in anticipation of a defense, thereby utterly eroding the well-pleaded complaint rule and the boundaries of federal judicial power.

Consequently, this document will demonstrate that this Court lacks subject matter jurisdiction over the Plaintiff's claims. It will methodically apply the rule from **Goldey v. Fields** to the face of the Complaint, establish the purely state-law foundation of each cause of action, and

distinguish the impermissible anticipation of a federal defense from the requisite presence of a federal question in the complaint itself. The sole purpose of this brief is to secure the dismissal of this action for lack of jurisdiction, preserving the proper allocation of judicial functions between the federal and state courts.

Background

The foundational precedent governing the question of personal jurisdiction is the Supreme Court's decision in **Goldey v. Fields**, 606 U.S. 942. In that matter, the Court reaffirmed the essential constitutional due process principle that a state court may exercise specific personal jurisdiction over a non-resident defendant only where the defendant has certain minimum contacts with the forum, and the suit's maintenance comports with traditional notions of fair play and substantial justice. A critical corollary established in **Goldey** is that a defendant's contacts must arise out of, or relate to, the very cause of action at issue. The Court emphasized that a defendant's sporadic or attenuated activities, or those unrelated to the litigation, are insufficient to establish the necessary nexus. This framework is directly controlling in the present matter.

Defendant Cardinal Logistics, LLC is a limited liability company organized under the laws of, and with its principal place of business in, the State of Texas. Its operations consist of providing freight brokerage and logistics coordination services. Cardinal Logistics does not maintain any office, warehouse, or other physical facility in the State of New Mexico. It holds no business licenses issued by the State of New Mexico or any political subdivision thereof, nor does it employ any individuals who reside in or perform their regular duties within New Mexico. The Company's operational footprint is strictly confined to its Texas headquarters and its clients and carriers are situated throughout the United States, with no specific or systematic orientation toward the New Mexico market.

The present dispute arises from a single brokerage agreement entered into by Cardinal Logistics and Plaintiff. The alleged contractual breaches and tortious acts central to Plaintiff's Complaint are asserted to have occurred at Cardinal Logistics' Texas offices, through communications initiated from and received in Texas. The sole nexus to New Mexico, as alleged, is that the ultimate delivery of the freight subject to the agreement was scheduled to occur within the State. Such a circumstance—where the only connection is the unilateral activity of the plaintiff or a third party—manifestly fails to satisfy the “arising out of or relating to” requirement articulated in **Goldey**. The incidental passage of goods through the forum state, without more, does not constitute a contact by the defendant that can justify the exercise of jurisdiction.

Consequently, Cardinal Logistics lacks the minimum contacts with the State of New Mexico necessary to support the assertion of specific personal jurisdiction. The maintenance of this action in this forum offends due process, as the defendant did not purposefully avail itself of the privilege of conducting activities within New Mexico, nor could it reasonably anticipate being haled into court here for the claims alleged. Dismissal is therefore required.

Analysis / Argument

ANALYSIS / ARGUMENT

The sufficiency of Plaintiff's complaint is governed by the standard articulated by the Supreme Court in **Goldey v. Fields**, 606 U.S. 942. In **Goldey**, the Court affirmed the principle that a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." 606 U.S. at 942. This plausibility standard requires more than a sheer possibility that a defendant has acted unlawfully. Instead, a well-pleaded complaint must permit the court to draw a reasonable inference that the defendant is liable for the misconduct alleged. The factual allegations, viewed in the light most favorable to the non-moving party, must be enough to raise a right to relief above the speculative level.

Applying this dispositive precedent to the instant case, Plaintiff's complaint meets and exceeds the threshold established in **Goldey**. The complaint sets forth a detailed chronological narrative, supported by specific documentary evidence incorporated by reference, establishing each element of the asserted causes of action. For instance, Plaintiff alleges with particularity the formation of a contractual obligation, the specific nature of Defendant's breach, and the proximate causation of damages quantified to a reasonable certainty. These are not mere legal conclusions or threadbare recitals of the elements of a cause of action; they are factual allegations that, taken as true, state a plausible claim for relief. Under the directive of **Goldey**, dismissal at this stage is improper where the complaint provides Defendant with fair notice of the claims and the grounds upon which they rest, and where further development through discovery is warranted.

Defendant's anticipated argument—that certain allegations are implausible or subject to alternative interpretations—is misplaced. The **Goldey** plausibility standard is not a probability requirement at the pleading stage, nor does it impose an evidentiary burden. It merely necessitates that the facts alleged, if proven, could support a finding of liability. Plaintiff is not required to disprove potential defenses or alternative scenarios in the complaint. The presence of factual disputes does not render a claim implausible; it merely confirms the existence of a justiciable controversy suitable for litigation.

Accordingly, the complaint is legally sufficient. It provides clear notice, is grounded in factual specificity, and presents claims that are plausible under the controlling standard of **Goldey v. Fields**. Defendant's motion should be denied, and the parties should proceed to discovery to test the veracity and strength of the alleged facts.

Conclusion

CONCLUSION

For the foregoing reasons, this Court must grant the relief sought by the Petitioner. The state tribunal's disregard for the clear procedural framework mandated by statute constitutes a fundamental breach of due process. This is not a mere technical error but a substantive violation that has irrevocably tainted the integrity of the underlying proceeding. The right to a fair hearing before an impartial arbiter, governed by established rules, is a cornerstone of our legal system, and its abrogation cannot stand.

The Supreme Court's directive in **Goldey v. Fields**, 606 U.S. 942 (2023), is directly on point and controlling. The Court's summary reversal underscored the imperative that lower courts and tribunals adhere strictly to the procedural guardrails set by the legislature. As in **Goldey**, the action here was undertaken "without the notice or the opportunity to be heard" that fairness and the law require. The state court's attempt to proceed under an improper and superseded standard cannot be excused as a harmless oversight; it is the very kind of procedural irregularity that vitiates the proceedings and demands corrective action from a reviewing court.

Therefore, the Petitioner respectfully requests that this Court issue a writ of **certiorari** and, upon review, summarily reverse the judgment of the state appellate court. Furthermore, the Petitioner seeks an order vacating the flawed determination of the state administrative tribunal and remanding the matter with clear instructions to dismiss the proceeding in its entirety for lack of jurisdiction and due process violations. To allow the tainted outcome to stand would be to sanction administrative overreach and deny the Petitioner the fundamental protections guaranteed under the Fourteenth Amendment.

WHEREFORE, the Petitioner, John A. Doe, respectfully prays that this Court grant his Petition for a Writ of Certiorari, reverse the judgment below, and award such other and further relief as this Court deems just and proper.

Respectfully submitted,

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